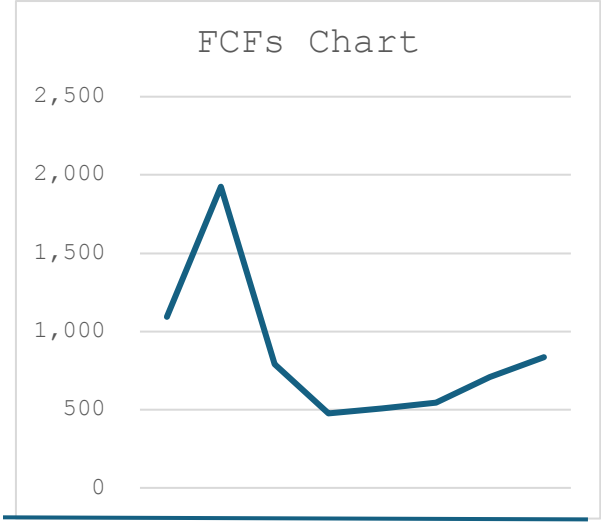
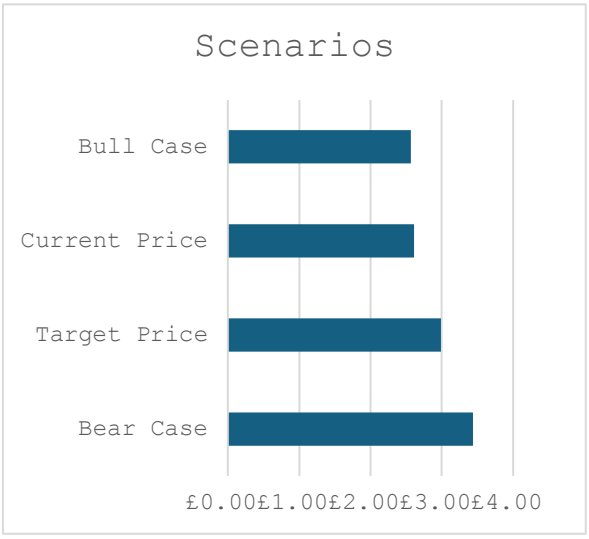
- Resilient sales growth in core grocery: Group sales grew by 3.4% to £36.3bn with grocery sales up 9.4%, outperforming the market amid easing inflation and volume recovery. Strong own-brand demand, Nectar-driven loyalty pricing and store investment supported continued top line momentum. (Sainsburys,2024)
- Volume-led recovery as inflation eases: Sainsbury's saw improved volume growth in fresh food and own-brand as food inflation moderated in 2024, with management noting that grocery volume performance "strengthened through the year"
- Valuation remains undemanding despite earnings recovery: Sainsbury's trades at a forward P/E of **~12.5x** FY2025 earnings according to UBS, and **11.5x** according to Barclays — both below Tesco and the sector average of **~13.5x–14.5x**. This suggests the market has yet to fully reflect its margin recovery and operational progress. Analyst target prices, including **295p** from UBS and **340p** from Barclays, reinforce upside potential from the current share price

Target Price: 299.1p
Current Price 26th April 2024: 261.4p



Summary & Investment Thesis:

We recommend a strong **Buy** on J Sainsbury *plc*, with a target price of 299.1p, which implies a ~14.4% upside from the current share price of 261.4p as of 26th April 2024. Our valuation reflects the confidence Sainsburys possess in operational delivery and growing financial resilience, especially with the easing of macroeconomic measures like inflation, leading to more volume-led growth re-emerging in UK grocery.



Sainsbury's FY24 results shows the successful early progress made under the "Next level Sainsbury's" strategy, gaining 9.4% grocery sales, more own-brand participation and margins recovering supported by a £1bn savings programme. The stock trades below Tesco at forward P/E of ~12.5x FY25, the average is ~13.5-14.5x, despite delivering stable FCF, 5% dividend yield, with other analyst target prices of 295p (UBS) and 340p (Barclays) – which suggest the current price of the stock remains mispriced relative to the improving fundamentals.

Brief Information About Sainsburys:

J Sainsbury plc is a UK based food retailer, being one of the first in the country back in 1869. The headquarters are based in London, operating exclusively in the UK, and are enlisted in the FTSE 100. It serves millions of customers across the country through a diverse multichannel platform, own-brand innovation and digital personalisation. Sainsburys has a lot of brands under its ownership:

- Retail - Grocery and General Merchandise:
  The core of Sainsburys operations, it comprises of 800 large supermarkets and 600 smaller Sainsburys Local convenience shops across the nation. Grocery accounted for 70% of total revenue FY2024, which is the key driver of profitability. General merchandise includes Argos and Habitat - which is now in the process of being integrated into Sainsburys supermarkets and online platforms.
- Tu Clothing: A growing clothing apparel range, offered in store or online, contributing to differentiation and non-food sales.
- Sainsbury's Bank (exit in process): Used to offer financial services to its loyal customers such as credit cards and insurance. However, operations are shutting down due to shift in focus on core retail operations
- Nectar360 program: The UK's largest loyalty scheme, which retains a loyal 17million active users and growing. This rewards scheme is to attract customers to find better deals through shopping with

Sainsburys and garnering points to spend either in Sainsburys or other businesses affiliated with the scheme. Nectar prices have saved active users and annual average of £200

Sainsburys also have a strong E-Commerce presence with a strong online grocery capacity and integrates Argos ordering "Click and collect" model.

Business Model, Industry Overview:

Sainsbury sis the second largest grocery retailer in the UK, which operates in a highly competitive and price sensitive market dominated by handful of full-service supermarkets and discounters. In the Uk this sector is mature and low-margin, growth driven by volume, efficiency and customer loyalty.

Sainsburys operates multi-format, vertically integrated retail business, prioritising delivering essential goods to customers across supermarkets, convenience stores and digital platforms. Its strategy evolution from the "Food First" programme into the new "Next Level Sainsbury's" strategy reflects a sharper focus on core food retail, loyalty monetisation and cost control.

Business Features that drive value	Industry trends and competitive dynamics
• **Own brand Leadership**: Over 50% of baskets include own-brand items, generating higher margins and differentiate from discounters • **Negative working capital**: receiving cash upfront from customers while paying suppliers in deferred terms (~47-50 days) • **Automation and Forecasting:** Investment in supply chain automation, machine learning-based demand planning, digital fulfilment supports efficiency and costs • **Omnichannel Reach:** customer can shop instore, online, Argos click and collect, convenience locations – supporting growth in both.	• **Aggressive price competition:** led by Aldi and Lidl, pressuring full-service retailers to deliver value without sacrificing margin • **Disinflation** and return to **volume-led growth**, with consumer behaviour stabilising post-pandemic • Growth **in online convenience channels**, where Sainsburys continue to expand • Demand for **personalised offer** and loyalty integration, driving interest in data platforms like Nectar

Financials:

These are the key parameters I used to forecast both the full income statement and balance sheet:

Years	FY25	FY26	FY27	FY28	FY29
Sales Growth	3.5%	3.25%	3%	2.8%	2.5%
Gross Margin	7.9%	7.9%	7.9%	8%	8%

Operating Expenses	6.3%	6.3%	6.2%	6.2%	6.2%
ETR	36%	36%	36%	36%	36%
Other Income	1%	1.15%	1.25%	1.3%	1.35%
Finance Income after Tax	15%	15%	15%	15%	15%
Financial charge after Tax	-7.1%	-6.5%	-3.57%	-2.9%	0%
Dividend payout ratio	70%	67.5%	65%	62.5%	60%
NWC efficiency	-9.8%	-9.6%	-9.3%	-9%	-8.8%
Assets held for resale	-0.12%	-0.12%	-0.12%	-0.12%	-0.12%
Net non-current operating assets	1.1%	1.2%	1.4%	1.2%	1.2%

Parameters Analysis:

- Sales Growth (Base case)

  Sainsbury's sales growth forecast starts of strong with FY25 3.5% declining to 2.5% FY29, reflecting the front-loaded impact of strategic initiatives and the natural constraint of a mature, saturated market. FY22 and FY23, sales were driven by high inflation rather than volume and mixed based growth, however as inflation is now cooling of, we capture this in our forecast model. Sainsbury's growth is still positive because it's supported by the next level Sainsbury's strategy, which includes the 180-store refurbishment rather than spend money on new location a highly saturated sector with few geographic opportunities.

- Gross Margin

  We increase gross margin from 7.4% to 7.9% by FY25, returning to pre-COVID levels and in line with Tesco's margin recovery, which improved from 6.9% to 7.6% over the same period (Tesco FY2024 Report). This reflects the company's margin recovery trajectory following a period of significant price investment and inflationary pressures. This improvement is supported by Sainsbury's planned £1bn cost savings between FY24 and FY27. Margins expanding is driven by Sainsburys' own product line "Taste the Difference/Stamford Street" range, which commands stronger margins. Nectar prices and personalisation promotions reduces broad discounting, keeping prices efficient and maintain better gross profit retention.

- Operating expenses (Impairment of Financial assets + Administration expenses)

  Impairment of Financial Assets:

- Ongoing withdrawal of Sainsbury's Banking reducing risk exposure of its financial asset base

  Admin Expense - decreases over time due to:

- Argos integration completed: Argos now part of Sainsbury's stores/footprint/support structures, reducing duplication
- Save to invest: £1bn savings from 2024-2027 "simplifying organisation, reducing complexity and digitizing processes" reducing duplication
- Operating leverage: semi-fixed costs that don't scale linearly with revenue, so grows slower.

- Finance charge After Tax

  Historical performance shows that finance costs have declined by £89m in 2 years (35%). Sainsbury's aim to reduce net debt from £6.3bn FY23 to £5.2bn FY27 which includes lower lease adjusted debt and improved cashflows supporting deleverage, meaning interest-bearing liabilities are shrinking reducing finance costs.

  The Bank of England introduced a sudden hike in interest rates from 0.1% to 5.25%.

- Dividend payout ratio:

  In FY23 and FY24 Sainsbury's reported depressed statutory profits due to increased costs from inflationary pressure, restructuring charges and strategic investment, along the phasing out of Sainsbury's bank. Despite the accounting impacts, the company still managed to generate strong free cash flows, making their dividend payout sustainable and affordable. Sainsbury's has always targeted

the 60% payout ratio of underlying earnings. Despite the shock increases FY24 (2.23x) we align our forecasts with Sainsburys 60% target by starting off at 75% and slowly bringing the payout ratio to 60% by FY29. This trajectory reflects lasting impacts of years prior, and companies focus of maintaining a progressive dividend approach backed by cash generation.

- NWC Efficiency
  Historically Sainsbury's operated with highly efficient, negative working capital due to immediate customer payments and supplier payments are extended. Our forecasts predict that Sainsbury's will gradually reduce their net working capital efficiency, meaning NOWC increases (becoming less negative) from -10% of revenue FY25 to -8.8% of revenue FY29. This captures Sainsbury's strategic investment to fresh and their own brand "Taste the difference" food – increasing inventory – with supplier payment terms reaching the limit of ~ 47 – 50 days.

- Net Non-current Operating assets
  Net Non-Currant Operating Assets (NNCOA) are projected to gradually increase from FY24 onwards. This happens after a sharp decline in FY23 due to the Highbury & Dragon property transaction and the Sainsbury's bank exit being phased out. After the completion of these one-off reductions, our forecasts projected to increase as Sainsbury's aim to reinvest in refurbishments of 180 stores for chilled capacities and ongoing supply chain automations and technology infrastructure. Sainsbury's also planning to increase positive CapEx above depreciation through to FY27

This is the Pro-Forma Full income statement:

Pro Forma Income Statement £m	2022	2023	2024	2025	2026	2027	2028	2029
Revenue	29,895	31491	32700	33845	34944	35993	37001	37926
COGS	-27514	-29409	-30266	-31171	-32184	-33149	-34041	-31892
Admin expenses	-1430	-1515	-1862	-1745	-1635	-1533	-1438	-1351
Impairments	-15	-78	-98	-92	-86	-81	-76	-71
Operating profit before tax	936	489	474	837	1040	1229	1446	1612
Taxation	-194	-179	-240	-301	-374	-442	-520	-580
Operating profit after tax	742	310	234	536	666	787	926	1032
Other income after tax	174	46	29	29	29	30	30	30
NOPAT	916	356	263	565	695	817	956	1063
Financial income after tax	16	47	40	86	101	124	146	162
Financial charge after tax	-255	-196	-166	-154	-144	-139	-135	-135
Profit Att. to Ord. shareholders	677	207	137	497	656	802	966	1089

This is the Pro-Forma Balance Sheet:

Pro Forma Balance Sheet £m	FY22	FY23	FY24	FY25	FY26	FY27	FY28	FY29
Net operating working capital	-2791	-2683	-3298	-3317	-3355	-3347	-3330	-3337
Net long term operating assets	17526	15849	15936	16111	16305	16533	16731	16932
Net operating assets (NOA)	14735	13166	12638	12795	12950	13186	13401	13595
Net financial liabilities	6320	5921	5780	5888	5986	6152	6284	6378
Ordinary Shareholders Equity	8423	7253	6868	6915	6973	7042	7125	7225

NCI and Other Items	-8	-8	-10	-8	-8	-8.24	-8.33	-8.5
Total Equity	8415	7245	6858	6907	6964	7034	7117	7216
Equity and net financial liabilities (=NOA)	14735	13166	12638	12795	12950	13186	13401	13595

Free Cash Flows Calculations:

FCF calculation	FY22	FY23	FY24	FY25	FY26	FY27	FY28	FY29
NOPAT	916	356	263	565	695	817	956	1032
NOA	14735	13166	12638	12727	12915	13186	13434	13662
Change in NOA		-1569	-528	89	188	271	248	228
FCF		1925	791	576	507	546	707	835

FCF = NOPAT – (NOAt – NOAt-1)

Valuation and Recommendation:

WACC and TV growth assumptions:

- WACC of 6.8% reflects the company's low beta, cash generative profile and aligns with sector averages (6.5%-7.2%) reported by UBS and Barclays, balancing Sainsbury's defensive model and industry margin pressure
- Terminal growth rate of 1.3% reflects UK long-term real GDP growth (OBR,2024), expectations and typical retail sector assumptions, capturing modest real growth without overestimating future reinvestment capacity

2 models were used to create a target price: DCF FCFF and P/E multiple

1. The DCF FCFF (entity) enterprise valuation works best with Sainsbury's because they generate strong and stable free cash flows despite the immense economic pressure, they had to endure during FY23 and FY24. Since this company is very mature as low-growth, cash-generative sector FCFF is reliable to metric to model intrinsic value based of the operational performance and reinvestment requirements. Sainsbury's have debt and lease obligations which makes an equity perspective valuation less clean to use.

DCF: FCF Valuation Calculation as of 26th April 2024						
Year Ahead	1	2	3	4	5	TV
Cash Flows	476	507	546	707	835	15384
Discounted cash flows	446	444	448	543	601	11071

Valuation Parameters	
WACC	6.8%
TV Growth Rate	1.3%
Debt(m)	5780
No. of Shares(m)	2353
Current price (£) @ 26th April 2024	2.614
Market capitalisation (£) @26th April 2024	6150

V(enterprise)	13554
V(equity)	7774.3
TP (£)	3.304
TP(p)	330.4

2. A forward P/E multiple is intuitive to use for valuing retail business, as it reflects expected earnings performance, an important metric for investor and analysts. It also allows for straightforward benchmarking against sector peers such as Tesco and Marks and Spencer's, where valuation is tied to earnings visibility and margin stability. (The data used was passed the valuation date as it was the only material available)

I chose to apply an average between the 2 models to come up with an overall TP = 299.1p

Sensitivity Matrix:

A sensitivity matrix shows how Sainsbury's price fluctuates when changing key parameters: WACC and TV growth rate.

		WACC				
TV Growth	299.13	6.4%	6.6%	6.8%	7%	7.2%
	0.9%	303.3	292.4	282.3	272.9	264.0
	1.1%	312.8	301.2	290.4	280.4	271.0
	1.3%	323.0	310.6	299.1	288.4	278.5
	1.5%	334.1	320.8	308.5	297.1	286.5
	1.7%	346.1	331.8	318.6	306.4	295.1

Our base case was 299.13p assuming a WACC of 6.8% and a terminal value growth of 1.3%. It can be observed that the target price is highly sensitive to both, but WACC has more of an effect. When WACC decreases to 6.4% it raises the target price to 323.8p-346p through changes of tv growth. However, increasing WACC to 7.2% reduces the valuation to 264p-295.1p range. This highlights the impact of changes in financial conditions, interest rates, inflation rates.

Scenario analysis:

Bull Case	343.3p	In the Bear Case, we expect accelerated volume recovery from inflationary profit, strong customer retention from Nectar 360 and early realisation of cost savings. Own brand penetration and retail media income outperform expectations resulting in higher forward P/E ~ 14.5x.
Base Case	299.1p	
Current Price	261.4p	This is the price Sainsbury's was valued at 26th April 2024
Bear Case	256.9p	In the bear case, a slower than expected recovery in grocery volumes and reduced nectar engagement lead to margin compression and a lower P/E of ~10x.